

DOMO INC DOMO

July 23, 2026 - 8:39pm EST

by

Alpinist

			2026	2027
Price:	3.95	EPS	0	0
Shares Out. (in M):	51	P/E	0	0
Market Cap (in \$M):	201	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0

Description

A short writeup about an NOL shell given the limited information that can currently be evaluated to assess the likely timing of the realization of the NOLs and/or the appropriate discounting of the value of the NOLs

On July 22, Domo announced that it signed a [definitive agreement](#) under which Progress Software (PRGS) will acquire substantially all of the assets and employees of Domo's AI and Data Platform Business (including its operating business, technology platform, customer contracts, employees, intellectual property, vendor relationships, foreign subsidiaries, and other assets and obligations related to the business), excluding Domo's NOL carryforwards, and assume certain liabilities for \$400 million in cash, subject to customary purchase price adjustments: (i) a downward adjustment equal to the amount by which the cash acquired by Progress at closing is less than \$25 million and (ii) an adjustment for indebtedness of the AI and Data Platform Business or the purchased assets that remains outstanding and is not repaid at or prior to closing.

The transaction is designed to deliver value for stockholders while preserving Domo's significant tax attributes. At the closing of the transaction, Domo will pay off its existing credit facility in full and will have net cash of ~\$246 million, or \$4.84 per share. \$375 million net of cash acquired represents only 1.18x LTM revenue and roughly the same multiple of ARR since Domo has not been growing in recent years.

As of January 31, 2026, Domo had NOL carryforwards for federal and state income tax purposes of \$1.289 billion and \$1.415 billion, respectively, which may be available to offset taxable income in the future. The federal NOLs will begin to expire in various years beginning in 2032 if not utilized. The state NOLs will expire depending on the various rules in the state jurisdictions in which Domo operates. Full realization of the NOLs is dependent on generating sufficient taxable income prior to their expiration.

After the closing of the transaction, Domo will change its name and ticker and remain a separate publicly-listed entity with limited operating expenses and a debt-free balance sheet. The Board intends to use the proceeds from the transaction to identify opportunities to monetize its NOLs. In connection with the transaction, Domo adopted a [tax benefits preservation plan](#) designed to protect its ability to use its NOL carryforwards and other tax attributes.

It will consider potential transactions where the company can employ its expertise in AI and automation to enhance profitability as well as options to return capital to shareholders. The company will continue to be led by Founder and CEO Josh James and its Board of Directors.

The transaction is expected to close prior to the end of the fiscal year for Progress (November 30, 2026), subject to the receipt of required regulatory approvals and other customary closing conditions. The transaction is not subject to a financing condition.

Background

Domo's [credit facility](#) is secured by substantially all of Domo's assets and contains financial covenants that include a minimum ARR covenant and a minimum trailing twelve month consolidated EBITDA covenant (the actual covenant amounts are kept confidential), each tested quarterly, and a minimum liquidity covenant tested monthly.

As of April 30, 2026, Domo was not in compliance with the minimum ARR covenant. As a result, the lenders had the right to declare the outstanding balance of \$136.6 million of principal and related fees immediately due and payable. Domo had cash and cash equivalents of only \$39.1 million as of April 30, which was not sufficient to repay the term loan upon any such acceleration. As such, substantial doubt existed about Domo's ability to continue as a going concern within one year of its Q1 10Q.

Domo entered into a forbearance agreement with its lenders under which the lenders agreed to forbear from exercising their rights and remedies with respect to the noncompliance during a limited forbearance period, contingent on Domo's pursuit and completion of a strategic transaction, including entry into a definitive purchase agreement by July 31, 2026 and the completion of a transaction no later than November 30, 2026, which led to the PRGS transaction. The transaction is expected to close prior to the end of the fiscal year for Progress (November 30, 2026), subject to the receipt of required regulatory approvals and other customary closing conditions.

Projected Return

At the closing of the transaction, Domo will have net cash of ~\$246 million, or \$4.84 per share. If the transaction closes 11/30/26 and the share price reflects just the net cash per share, that implies an IRR of ~77% at closing.

In addition, Domo will have NOLs with undiscounted values per share of the following:

	Multiple of Current		
	NOLs	Per Share	Share Price
Federal	1,289.3	25.37	6.42x

State	1,414.7	27.83	7.05x
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At this point, there is not additional information that can be evaluated to assess the likely timing of the realization of the NOLs and/or the appropriate discounting of the value of the NOLs.

Risks

- If the PRGS transaction does not close, Domo could be forced to liquidate.
- As with any NOL shell, finding a transaction that will enable Domo to utilize its NOLs could take a long time, and they may not find a suitable acquisition.
- Josh James will continue to lead the company and the effort to find an acquisition, and his execution as Domo CEO has been less than stellar.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Initially: closing of the PRGS transaction. The share price is likely to approach at least the post-closing net cash per share over the coming months.
- Eventually: closing of an acquisition that will enable Domo to realize the value in its NOLs.

Messages

Subject Stock based Comp
Entry 07/26/2026 07:42 PM
Member Supernova

It looks like SBC is insanely high, \$1.38/share last year, equal to 37% of the current market cap. To maintain employee retention their SBC program probably continues until closing. This may account for the seemingly attractive upside to proforma NAV.

Subject Questions
Entry 07/27/2026 12:22 PM
Member avalon216

Alpinist - Thanks for the writeup and hopefully we get at least a similar rerate to LOGC.

1. What is cash burn / dilution (noting Supernova's point on SBC)?
2. Since its the same management and they want to use their AI expertise, do you have confidence they'll really buy a low P/E asset to monetize the NOLs? The CEO's personal motivations may not be aligned with shareholders?

Subject Re: Stock based Comp
Entry 07/27/2026 02:16 PM
Member Alpinist

The estimate of \$4.84 per share is as of the closing of the transaction, so that factors in any future dilution between now and closing for additional RSU vesting. PRGS is acquiring the employees other than Josh James, so any additional stock grants to employees will come from PRGS.

The capitalization as of the "Capitalization Date" (July 17, 2026) is described in Section 4.1 of the [Asset Purchase Agreement](#):

(c) The authorized capital stock of the Seller consists of (i) 3,263,659 shares of Class A Common Stock of the Seller, par value \$0.001 per share ("Class A Common Stock"), (ii) 500,000,000 shares of Class B Common Stock of the Seller, par value \$0.001 per share ("Class B Common Stock"), and (iii) 10,000,000 shares of Preferred Stock of the Seller, par value \$0.001 per share ("Preferred Stock"). As of 5:00 p.m., Eastern Time, on July 17, 2026 (such time and date, the "Capitalization Date"), (A) 3,263,659 shares of Class A Common Stock were issued and outstanding; (B) 43,772,502 shares of Class B Common Stock were issued and outstanding; (C) no shares of Preferred Stock were issued and outstanding; and (D) no shares of Seller Common Stock were held by the Seller as treasury shares. From the Capitalization Date to the date hereof, the Seller has not issued or granted any equity securities other than pursuant to the exercise or settlement of Seller Equity Awards granted prior to the date hereof.

(d) As of the Capitalization Date, there were outstanding the following (collectively, the "Seller Equity Awards"): (i) Seller Options to acquire 33,242 shares of Class B Common Stock having a weighted average exercise price of \$27.68 per share, (ii) warrants to purchase 1,215,287 shares of Class B Common Stock having a weighted average exercise price of \$0.10 per share (the "Seller Warrants"), and (iii) Seller RSUs in respect of 4,915,535 shares of Class B Common Stock. In addition, as of the Capitalization Date, approximately 210,000 shares of Class B Common Stock are subject to outstanding purchase rights under the Seller ESPP (based on the closing price per share of Seller Common Stock of \$3.48 on July 17, 2026 and assuming employee contributions continue until the purchase date at the levels in place as of the Capitalization Date).

Subject Re: Questions
Entry 07/27/2026 02:18 PM
Member Alpinist

See below for the dilution question. Re. cash burn, Cash and cash equivalents at 4/30 was \$39.1 million. The "Minimum Cash Amount" that would drive a purchase price adjustment is \$25 million:

Section 2.5 Purchase Price; Purchase Price Adjustments.

(a) In consideration for the sale and transfer of the Purchased Assets, and on the terms and subject to the conditions of this Agreement, at the Closing, the Buyer shall (i) pay to the Seller an amount in cash equal to (A) the Base Purchase Price, minus (B) the amount, if any, by which the Minimum Cash Amount exceeds the Estimated Closing Cash (the "Estimated Cash Shortfall"), minus (C) the Estimated Closing Indebtedness (the "Closing Cash Payment"), and (ii) assume the Assumed Liabilities. The Closing Cash Payment shall be subject to adjustment following the Closing in accordance with this Section 2.5, and as so adjusted shall be the "Final Closing Cash Payment". The Final Closing Cash Payment, together with the assumption of the Assumed Liabilities, shall be the "Purchase Price". For the avoidance of doubt, (x) no adjustment to the Closing Cash Payment shall be made under clause (B) if the Estimated Closing Cash equals or exceeds the Minimum Cash Amount, and (y) there shall be no upward adjustment to the Closing Cash Payment or the Final Closing Cash Payment under Section 2.5(f) on account of Closing Cash in excess of the Minimum Cash Amount. The Purchase Price shall be allocated as provided for in Section 2.6.

So the company can burn an additional \$14.1 million between 4/30 and 11/30 without a purchase price adjustment. Domo generated \$3.3 million in FCF (CFO - Cap Ex) in Q1, and was also FCF positive in Q1-Q3 of last year before burning \$5 million in Q4. I assume Cap Ex will essentially be frozen between now and closing, so they should be able to get to closing with enough cash to avoid a purchase price adjustment.

Post-closing, I assume Josh will take a salary TBD. His FY'25 base salary was \$500k. I would hope they decrease it from that amount, but it might stay at that amount. I assume they will also have a CFO, and they will continue to have public company expenses (audit, tax, listing, etc.) in addition to some small rent expense. BoD fees paid in cash, if any, are TBD.

Your second question highlights my biggest concern with the investment, and would be a legitimate reason to pass on this investment to focus on other opportunities.

Subject	Giving Josh James more money
Entry	07/27/2026 02:47 PM
Member	Thor25

Why would this be a plan any shareholders would want given history here?